Since the 1992 Fama and French seminal paper “The Cross-Section of Expected Stock Returns,” investors have believed that a significant value premium exists and that it can give value-oriented investors an edge. There are now hundreds, if not thousands, of investment programs and funds incorporating a tilt toward value stocks.

The Israel and Moskowitz (2013) paper thoroughly addressed the value premium issue as well as the size premium issue. They based their findings on the standard book-to-market equity ratio and similar simple indicators of the value premium. More sophisticated value-oriented approaches, such as the one by Gray and Carlisle (2013), may give different results.

Working with the most common indicator of value, the book-to-market ratio, Israel and Moskowitz find the value premium to be insignificant in the two largest quintiles of stocks. These represent the largest 40% of NYSE stocks and are the stocks that are large enough for institutional investor portfolios to include in their portfolios.

Only the smallest-size stocks show a significant value premium. The two smallest quintiles contain stocks that are much smaller than the small-cap Russell 2000 Index. There is no reliable value premium among large-cap stocks in three out of four subperiods from 1927 through 2011. The two largest-size quintiles exhibit a significant value premium only from 1970 through 1989.

The 1992 and 1993 Fama and French studies that started all the excitement about value investing and were the impetus for so many value-oriented funds and portfolios covered a similar 1963–1991 period. This may have just been a unique 28-year period where value stocks produced much higher returns. Dual momentum investors can take comfort in the fact that momentum has worked well across nearly all types of equities and all the way back to the year 1801!

Not long after publication of the Fama and French papers, Kothari, Shanken, and Sloan (1995) did their own study showing that the Fama and French findings were subject to possible sample selection bias. Using a different data source, Kothari et al. found no evidence of a significant positive relationship between the book-to-market equity ratio and average returns. Going up against the highly respected Fama and French, the Kothari et al. study attracted little attention then or now.